Implied Terms

What a contract requires without expressly saying so

You hire someone to translate a university notice. The agreement states the price and deadline, but says nothing about supplying the original text. Might the bargain require cooperation from you?

A missing detail does not automatically supply the answer. This guide introduces English and Welsh contract law for English students without legal knowledge. It focuses on **implication in fact**: unstated terms of a particular bargain.

1 Express and implied describe the source

An **express term** is explicitly agreed, orally or in writing. An **implied term** forms part of the contract without being expressly stated. It is contractual content, not merely advice.

This distinction differs from **condition, warranty and innominate term**, which concern classification and remedies. Do not assume that all conditions are express or that every implied term is a warranty.

2 Four routes to unstated contractual content

ROUTE	BASIC IDEA
Implied in fact	A term of this particular bargain, identified under strict legal tests.
Implied in law	A rule supplies a term for a recognised type of contractual relationship.
Statute	Legislation requires a term to be treated as included in contracts within its scope.
Custom or usage	An established qualifying practice may supply content; the practice and its legal effect must be shown.

Courts may resolve disputes about these terms. Statutory terms derive from legislation, without a judge having to create them.

3 A statutory example

For goods supplied by a trader to a consumer within the Consumer Rights Act 2015, section 9 requires satisfactory quality. The standard takes account of the description, price and relevant circumstances. The buyer need not negotiate a separate quality clause.

Check the parties and transaction: that consumer rule does not govern every private sale.

4 The central caution

A gap is not permission to rewrite the bargain. Fairness, convenience or an omitted clause alone does not justify implication in fact.

The Moorcock: A Ship at Low Tide

The Moorcock (1889) 14 PD 64
Court of Appeal | Business efficacy

5 What happened?

A shipowner arranged to load and unload the Moorcock at a Thames jetty. Both sides knew that the vessel would rest on the riverbed at low tide. She settled on a hard ridge beneath the mud and was damaged. The jetty operators had not examined the riverbed.

6 Who won, and why?

The shipowner won. The Court of Appeal dismissed the operators' appeal and upheld their liability. Although they did not control the riverbed, they could investigate its condition. The contract included an undertaking to take reasonable care to ascertain whether the berth was safe, with a warning if the necessary safety assessment had not been secured.

7 What was not promised?

This was not an absolute guarantee that the ship could never be damaged. Nor did the court impose an unlimited duty to repair a riverbed the operators did not control. The reasoning required care concerning the berth's condition; it did not transfer every risk to one side.

The problem was the hidden riverbed condition, not that the shipowner was unaware of low tide. Bowen LJ explained implication through the efficacy the parties must have intended their transaction to possess.

8 Business efficacy in plain English

Business efficacy asks whether the proposed term is necessary to give effect to the bargain's operation and purpose. "Efficacy" means effective functioning; it does not mean a judge may add anything that makes the deal more profitable.

Fictional comparison: you book a room for a translation workshop at 10 a.m. The contract does not separately describe how you will enter. A precisely framed access obligation might be necessary for the agreed use. An entitlement to free coffee would usually be a desirable addition instead.

PROPOSED CONTENT	QUESTION TO INVESTIGATE
Access for the agreed workshop	Without it, can the contractual purpose be achieved?
Free refreshments	Is this necessary to the bargain, or simply attractive to the customer?

9 Keep the reasoning precise

Read the express agreement first. If access is already promised, there may be no gap to fill. If the contract provides a particular access arrangement, a proposed implied term cannot simply replace it with a more convenient one.

A Strict Test, Not a Better Deal

10 Two familiar tests

Business efficacy: is the term necessary for the bargain to operate as intended?
Obviousness: is the term so evident to reasonable people in the parties' position that it goes without saying? The "officious bystander" imagines someone suggesting it while the bargain is made.

Necessity and obviousness are alternative tests, although they commonly overlap. The term must also be capable of clear expression and must not contradict an express term. Reasonableness alone does not establish either test.

11 A modern example where implication failed

In **Marks and Spencer plc v BNP Paribas [2015] UKSC 72**, a tenant used a break clause to end a lease after paying a full quarter's rent in advance. It sought repayment for the period after the lease ended through an implied term.

The landlords won: the Supreme Court dismissed Marks and Spencer's appeal. The proposed repayment term was not necessary or obvious in that detailed lease. A provision can appear commercially reasonable without being a term the court may imply.

12 Avoid hindsight

Assess the bargain at the time of contracting. A later difficulty may expose a gap, but it does not prove that reasonable people in the parties' position necessarily agreed to the solution now preferred by one side.

Interpretation identifies the meaning of the words actually used. Implication in fact identifies additional, unstated contractual content under stricter constraints. Read the express terms before asking whether anything must be implied.

13 A classroom problem

A student hires a translator to prepare an English version of a notice by Friday. The client keeps the only copy of the Chinese original. The agreement contains no express clause about supplying it.

Candidate term: "The client must provide the source notice in time to permit the agreed translation." This is more precise than "The client must do everything helpful". Explain why access to the source is necessary, and check the agreed deadline, responsibilities and background.

Now suppose the agreement expressly states that the translator will obtain the source from the university archive. A proposed term putting that same task on the client would conflict with the allocation already agreed.

These are simplified examples, not automatic outcomes. The precise contract and facts determine whether a term is already express, genuinely implied or absent altogether.

Read, Propose, Test

14 A practical method

1. Read the express agreement. Identify the purpose, duties and risk allocation.
2. Identify the proposed gap. What precise issue is not addressed?
3. Name the legal route. Fact, law, statute or qualifying custom?
4. State the proposed term clearly. Say who must do what, and when.
5. Apply the relevant test. For implication in fact, explain necessity or obviousness and check consistency with express terms.
6. Analyse breach and remedies separately. An implied obligation does not automatically create a right to terminate.

15 Essential vocabulary

TERM	MEANING
Imply / express	Identify unstated content / state content explicitly.
Omission / gap	Something left out / an issue not addressed.
Business efficacy	Effective operation of the parties' bargain.
Officious bystander	An imagined person who proposes an obvious unstated term.
Ascertain	Find out or establish, for example through investigation.
Jetty / berth	A structure extending into water / the place where a ship lies.
Reasonable care	An appropriate standard of care; not a guarantee of perfect results.

16 Check your understanding

1. Must every implied term be created by a judge?
2. Are "express" and "condition" competing categories?
3. Does a missing clause automatically justify implication in fact?
4. Who won The Moorcock, and what undertaking mattered?
5. Who won Marks and Spencer?
6. May an implied term in fact contradict an express term?

Answers: 1. No; legislation can supply contractual content. 2. No; source and remedial classification are different questions. 3. No. 4. The shipowner; reasonable care to investigate berth safety, not an absolute safety guarantee. 5. The landlords; the tenant's appeal failed. 6. No.

Authorities: The Moorcock, reproduced original report; Marks and Spencer [2015] UKSC 72, especially paragraphs 15-31 and 56; Tesco [2024] UKSC 28, paragraphs 35 and 98-106 (principles); Consumer Rights Act 2015, section 9.

Adapted from the supplied Implied Terms lesson. The source/classification distinction and the Moorcock facts are clarified. Fictional examples are simplified for beginners; the officious bystander test is introduced briefly for the next topic.